Compensation, Payroll and Salary Revision Policy

Document ID	HR-010
Department	Human Resources
Document type	Policy
Owner	Payroll and Benefits Manager
Version	4.2
Status	APPROVED
Effective / last reviewed	2026-03-27
Audience	All employees
Related documents	HR-007, HR-013, HR-006, HR-004

Summary. Defines how Northstar Systems structures pay, runs monthly payroll in NorthPay, applies deductions and provident fund, revises salaries each 1 May, pays variable pay in June, and settles final dues, including notice buy-out and the 45-day full and final settlement.

SYNTHETIC DOCUMENT - Northstar Systems is a fictional company. This document exists for development, testing and demonstration only and is not real legal, employment, security or compliance advice.

1. Purpose and Scope

This policy explains how employees of Northstar Systems Private Limited are paid. It covers the salary structure, the monthly payroll cycle, statutory and voluntary deductions, the annual salary revision, variable pay, promotions, payroll corrections and the settlement of final dues when someone leaves. Its aim is to make pay predictable, fair, transparent and lawful, and to tell employees who to ask when something looks wrong.

The policy applies to all employees in Bands B1 to B7 in Bengaluru, Mumbai and remote locations. Interns, consultants and contractors are paid under their own agreements and are not covered unless their agreement says so. Payroll is processed in **NorthPay**, which also handles expense claims, and employee data comes from **NorthPeople**, the HRMS. The performance ratings used in revision and variable pay decisions come from the process described in the Performance Review Process (HR-007). Travel and expense reimbursements are governed by the Travel and Expense Reimbursement Policy (HR-004) and employee benefits by the Employee Benefits and Insurance Guide (HR-013).

References to statutory contributions, tax deduction and gratuity are illustrative; to be verified by Legal before external use. This policy is not tax advice. Employees should consult their own tax adviser for personal tax planning.

2. Definitions

- **Band**: the pay grade, B1 to B7. B1 to B3 are individual contributors and associates, B4 and B5 are senior, lead and manager roles, B6 is director or senior manager, B7 is vice president and above.
- **Annual fixed pay**: the fixed annual cost-to-company amount stated in the offer letter, excluding variable pay and reimbursements.

- **Basic pay**: the part of fixed pay used as the base for provident fund and certain other components.
- **Gross monthly salary**: annual fixed pay divided by 12, before deductions.
- **Net pay**: the amount credited to the employee's bank account after deductions.
- **Variable pay**: the performance-linked annual payment described in section 8.
- **Pay period**: one calendar month.
- **Payroll cut-off**: the date by which inputs such as leave and attendance, joiners, leavers and reimbursements must be final for the month's payroll.
- **Full and final (F&F) settlement**: the final payment of dues to a person who has left.

3. Roles and Responsibilities

Role	Responsibility
Payroll and Benefits Manager	Owns this policy, runs monthly payroll, handles corrections, files statutory returns, runs the revision budget model
Finance Controller	Reviews payroll before release, approves exceptions with financial impact
CFO	Approves the annual salary revision budget with the CEO
Department heads	Propose individual revisions within budget and Band guidance
HR Business Partners	Check proposals for fairness, consistency with ratings and equity
Chief People Officer	Approves the revision framework, promotion pay rules, and exceptions to this policy
Employees	Keep bank details, tax declarations and personal information current in NorthPeople and NorthPay
Reporting manager	Approves leave and attendance regularisation on time so that payroll is accurate

4. Salary Structure

4.1 Components

Annual fixed pay is divided into components, which may include basic pay, house rent allowance, special allowance, employer contribution to provident fund and other statutory components. The offer letter and the salary annexure in NorthPay show each component. The exact split may differ by employee to reflect tax planning choices permitted by law, but the total fixed pay does not change as a result.

4.2 Pay within Bands

Each Band has a pay range with a minimum, a midpoint and a maximum, published by the Payroll and Benefits Manager to HR and department heads and reviewed every year with market data. New hires are normally offered between the minimum and the midpoint. An offer above the midpoint needs the department head's and the Chief People Officer's written approval, and offers above Band B5 need CEO approval, in line with the Recruitment and Hiring Procedure (HR-011). An employee's position in the Band is shown as a compa-ratio, which is salary divided by the midpoint. Pay equity checks are run each year before the revision, and anomalies, such as a significant gap between employees in the same role with similar performance, are corrected through the revision.

4.3 Variable pay eligibility

Employees in Sales, Customer Success and some Engineering leadership roles may have a separate incentive scheme. All other employees follow the general variable pay scheme in section 8. The plan document for each incentive scheme is issued with the offer letter and must not be changed in the middle of a plan year except with the written approval of the CFO and the Chief People Officer.

5. Monthly Payroll

5.1 Payment date

Salary is paid monthly and credited on the last working day of the month. If the last day of the month is a company holiday or a weekend, salary is credited on the preceding working day. The pay slip is available in NorthPay on the day of crediting, together with the tax computation.

5.2 Payroll calendar

The Payroll and Benefits Manager publishes the calendar each fiscal year. In general:

1 Attendance, leave and loss-of-pay inputs are locked in NorthPeople around the 22nd of the month, and managers must clear pending approvals before this date.
2 New joiners, leavers, revisions, one-time payments and reimbursement approvals made by the cut-off are included in the month's payroll.
3 A draft payroll is reviewed by the Payroll and Benefits Manager and the Finance Controller.
4 The Finance Controller approves release, and the bank file is uploaded at least 2 working days before the payment date.
5 Salary is credited on the last working day and pay slips are issued.

Inputs received after the cut-off are processed in the next month. Where the delay is the company's fault and causes real hardship, the Payroll and Benefits Manager may approve an off-cycle payment with the Finance Controller's agreement.

5.3 Joining and leaving in a month

An employee who joins or leaves part way through a month receives salary for the days of service, calculated as gross monthly salary divided by 30 and multiplied by the number of days in service, in line with the convention for the notice buy-out rate. Employees who join after the payroll cut-off are paid in the next cycle together with the first month's salary. Joiners must submit bank details, PAN and identity documents on their first day so that payroll is not delayed.

5.4 Loss of pay

Where an employee has no leave balance and is absent, or where leave is not approved, loss of pay applies for each day of absence at gross monthly salary divided by 30. The late-mark rule in the Leave and Attendance Policy (HR-001) allows up to 3 late marks per month of up to 30 minutes each, and the 4th late mark in a month is deducted as half-day casual leave. If casual leave is exhausted, the deduction becomes loss of pay. Loss-of-pay days affect the following: basic pay, variable pay on a pro-rata basis for any unpaid leave of more than 30 days in a fiscal year, and eligibility for some benefits.

6. Deductions

6.1 Statutory deductions

NorthPay deducts, as applicable:

- Provident fund at 12% of basic pay from the employee, with a matching employer contribution included in fixed pay.
- Income tax deducted at source under the applicable tax regime, based on the declarations the employee gives.
- Professional tax as applicable in the employee's state.
- Other statutory deductions required by law.

Employees must submit their tax regime choice and investment declarations in NorthPay by the date announced each year, normally in April, and proofs by the date in January. Employees who do not submit proofs are taxed on the basis of the declarations that can be supported, and NorthPay will not reverse an over-deduction after the end of the fiscal year except as the tax law allows.

6.2 Recoveries

The company may recover the following from salary, after notice to the employee and within the limits of the law:

- Excess payment due to an error, recovered in instalments of not more than 25% of net pay per month unless the employee agrees to faster recovery.
- Unsettled travel advance beyond the 10-day settlement period in HR-004.
- Notice shortfall in line with section 11.
- Loss or damage of company assets from negligence, after HR review, as set out in the Asset Management and Hardware Lifecycle Policy (OPS-007).
- Pro-rata clawback of learning programme fees where a retention commitment applies, as set out in the Learning and Development Policy (HR-012).
- Corporate card personal charges and unreconciled card spend.

Deductions beyond statutory ones need the employee's written consent or a decision under the disciplinary process, and total deductions in a month must stay within legal limits.

6.3 Voluntary deductions

Employees may choose voluntary deductions such as additional contributions to the parent top-up health cover described in HR-013 or voluntary provident fund contributions. These are selected through NorthPay by the 10th of the month before they begin.

7. Annual Salary Revision

7.1 Timing

Salary revisions take effect on 1 May of each year, subject to approved budget, and are paid with the May payroll on the last working day of May. Any arrears from 1 May are paid in the same payroll if letters are issued after 1 May. Revision letters are issued in NorthPeople after ratings have been released following the April annual review described in HR-007.

7.2 Budget and process

1 In February, the CFO and CEO approve the total revision budget as a percentage of fixed payroll, based on company performance, market data and affordability. If the budget is not approved, no general revision is made and the Chief People Officer communicates this to all employees.
2 In April, the Payroll and Benefits Manager publishes the revision matrix, a table showing the recommended revision range for each rating and position in the Band.

3 Department heads propose revisions for each employee within their department's allocated budget pool.
4 HR Business Partners check proposals for consistency with ratings, Band ranges and equity.
5 The Chief People Officer approves the whole proposal; revisions for Band B6 and B7 are approved by the CEO.
6 Letters are issued and NorthPay is updated before the May payroll cut-off.

7.3 Rating and revision

The revision depends on the final rating from the annual review.

Rating	Revision treatment
5 Outstanding	Highest revision range plus eligibility for a promotion or market correction review
4 Exceeds	Above-average revision range
3 Meets	Standard revision range
2 Partially Meets	Reduced revision, decided by the department head and HR
1 Needs Improvement	Not eligible for a revision in that cycle

The percentages in each range change each year with the budget and are in the revision matrix, which is confidential to HR and department heads. A revision must not exceed the Band maximum unless the Chief People Officer approves an exception, for example by moving the employee into a higher Band through promotion.

7.4 Eligibility conditions

An employee is eligible for the revision if all of the following are true on 1 May: the employee is confirmed or will be confirmed before the revision letter; has joined on or before 31 December of the fiscal year reviewed; has not given or received a notice of resignation or termination; and has a performance rating of 2 or above. Employees who joined between 1 January and 31 March may get a pro-rata revision if the Chief People Officer approves it. Employees on a PIP may be considered for a reduced revision at the discretion of the department head and HR, but the revision is withheld until the PIP is successfully completed if the plan was still running on 1 May.

7.5 Promotion increases

Promotions are decided once a year after the annual review and take effect from 1 May with the revision unless the Chief People Officer approves another date. A promotion into a higher Band should normally include an increase that brings the employee to at least the minimum of the new Band. The promotion increase is in addition to, or replaces, the standard revision as stated in the letter.

Example: A Band B3 senior engineer rated 4 earns annual fixed pay of INR 12,00,000 and has been nominated for promotion to Band B4. The new Band minimum is INR 13,50,000. The Chief People Officer approves a promotion increase that moves the salary to INR 13,80,000 effective 1 May. The monthly gross rises from INR 1,00,000 to INR 1,15,000, and the May payroll includes the new amount. No separate standard revision is paid because the promotion increase replaces it, as stated in the letter.

8. Variable Pay

Variable pay for a fiscal year is paid with the June payroll of the following fiscal year, that is, with the June payroll after the annual review. The amount depends on the target variable percentage for the Band, the company performance factor, the department performance factor and the individual rating from the annual review.

8.1 Calculation

The formula is: target variable pay multiplied by the company performance factor, multiplied by the department performance factor, multiplied by the individual rating factor. The CFO and CEO publish the company factor each year after the audit of results, and department heads propose department factors for approval by the Chief People Officer. The individual rating factor is lower for rating 2 and zero for rating 1. The factor for rating 3 is the baseline.

8.2 Pro-rata and eligibility

Employees who joined during the fiscal year receive variable pay pro rata to the months of service, if they joined on or before 31 December. Employees on unpaid leave of more than 30 days in the fiscal year receive pay pro rata to the days paid. Employees who have resigned or were terminated before the payout date are not eligible, unless the Chief People Officer approves an exception for an employee who left after the end of the fiscal year, was in good standing and had been placed on garden leave by the company. Variable pay is not guaranteed and may be reduced or not paid if company results are below the threshold approved by the CFO.

Example: A Band B5 manager has target variable pay of INR 3,00,000 for the fiscal year. The company factor is 0.90, the department factor is 1.00 and the rating factor for rating 4 is 1.20. The variable pay is INR 3,00,000 x 0.90 x 1.00 x 1.20 = INR 3,24,000, subject to tax deduction at source and paid with the June payroll.

9. Payroll Corrections and Queries

Employees should check their pay slip each month. An error should be reported to the HR Helpdesk (hr-helpdesk@northstar-systems.example) within 30 days of the pay slip date, giving the month, the nature of the difference and supporting documents. The Payroll and Benefits Manager will respond within 3 working days and resolve the issue in the next payroll or, if the amount is more than INR 25,000 or there is hardship, through an off-cycle payment approved by the Finance Controller.

Where an overpayment is made, the Payroll and Benefits Manager informs the employee in writing with the calculation and a proposed recovery plan before any deduction.

Expense reimbursements are not part of salary. They are claimed in NorthPay within 15 calendar days of the trip end or expense date and reimbursed within 10 working days of final approval; the rules are in HR-004.

10. Confidentiality of Pay

Salary and variable pay are Restricted personal data. Employees are not forbidden from discussing their own pay with colleagues, but must not obtain or share another person's pay information from HR or payroll records. Payroll staff, HR and finance must keep pay data confidential, use it only for their roles, and must not send it by personal email. Payroll records are retained for 8 years, and employee records are retained for 7 years after exit, as set out in the retention schedule.

11. Exit: Notice, Buy-out and Final Settlement

11.1 Notice periods

The notice period during probation is 30 days. For confirmed employees it is 60 days. For Band B5 and above it is 90 days. Employees must serve the notice period unless the company agrees to a shorter period or to a buy-out.

11.2 Notice buy-out

An employee may ask to leave before the end of the notice period. A shortfall may be bought out with the approval of the reporting manager and HR, at the rate of gross monthly salary divided by 30 per day of shortfall. The buy-out amount is recovered from the final settlement or paid by the employee before the last working day. The company may also release an employee early at its discretion, in which case no buy-out is charged.

Example: A confirmed Band B4 employee in Mumbai with gross monthly salary of INR 1,20,000 resigns with 60 days of notice and the manager and HR approve leaving 15 days early. The daily rate is INR 1,20,000 / 30 = INR 4,000. The buy-out is 15 x INR 4,000 = INR 60,000, deducted from the final settlement.

11.3 Full and final settlement

The F&F settlement is made within 45 days of the last working day. It includes salary up to the last working day, encashment of Earned Leave up to 15 days, any variable pay payable, reimbursements approved, and deductions for notice shortfall, advances, unreturned assets and recoverable amounts. Gratuity is paid in line with the applicable law (illustrative). Access to systems is disabled by 18:30 IST on the last working day, and the F&F is held until the asset return and no-dues clearance are done as described in the Employee Offboarding Procedure (HR-006).

An employee who disagrees with the F&F statement must write to the HR Helpdesk within 15 days of receiving it. The Payroll and Benefits Manager reviews and replies within 7 working days.

12. Exceptions

Any exception to this policy, such as an off-band salary, an off-cycle revision, a retention payment or a waiver of recovery, must be requested in writing by the department head, reviewed by the HR Business Partner and approved by the Chief People Officer. If the amount affects more than INR 2,00,000 in a year, the CFO must also approve under the Delegation of Authority. No manager may promise a pay change before the approval is complete.

13. Related Documents

See the Performance Review Process (HR-007) for ratings and calibration, the Employee Benefits and Insurance Guide (HR-013) for insurance and wellness allowances, the Employee Offboarding Procedure (HR-006) for exit clearance, the Travel and Expense Reimbursement Policy (HR-004) for expense claims, and the Recruitment and Hiring Procedure (HR-011) for offers and approvals.

14. Revision History

Version	Date	Change
4.0	2025-03-10	Added revision matrix and equity check

Version	Date	Change
4.1	2025-10-06	Clarified variable pay eligibility and pro-rata rules
4.2	2026-03-27	Aligned recoveries, F&F and corrections with HR-006 and HR-004